

Iran: Six Months Into a War With No Peace and No Surrender

Charles Clarke | Political Risk Briefing | September 2026

Executive Summary

The war between Iran and the US/Israel, now past its six-month mark, has settled into an uneasy and dangerous equilibrium: a military stalemate paired with an economic offensive that Washington is openly calling an "endgame." Since Israeli and US strikes killed Iran's Supreme Leader Ali Khamenei in February 2026 and installed his son Mojtaba as successor, the conflict has cycled through ceasefires, breakdowns, and failed negotiating windows. As of September, there are no active US-Iran talks, the Strait of Hormuz remains substantially closed to normal shipping, and the US Treasury has just launched its heaviest sanctions package of the war. For political risk purposes, Iran is now less a single country risk than the central node in a regional and global sanctions, shipping and diplomatic crisis.

Risk Summary

Risk Area	Direction (3-month)	Likelihood
Resumption of formal US-Iran talks	Stalled, low near-term prospects	LOW
Strait of Hormuz returning to normal traffic	Slow, partial improvement possible	LOW-MEDIUM
Further direct military escalation	Elevated, both sides signalling resolve	MEDIUM
Iranian economic collapse (currency, inflation)	Deteriorating sharply	HIGH
China defying US secondary sanctions	Likely to continue	HIGH

Ratings reflect a 3-month forward view as of September 2026 and are directional judgements, not formal probability estimates.

1. From Strikes to Stalemate

Israeli and US strikes on Iran began on 28 February 2026, explicitly aimed at regime change and at destroying Iran's nuclear and ballistic missile programmes. The strikes killed Supreme Leader Ali Khamenei; his son Mojtaba Khamenei was subsequently named his successor. A Pakistan-mediated ceasefire held from 8 April, and a 14-point memorandum of understanding signed on 17 June set out a 60-day window for talks covering Hormuz navigation, Iran's nuclear and missile programmes, and sanctions relief. That window closed without a deal, and fighting resumed on 8 July. The conflict has since drawn in Lebanon, where Israel and Hezbollah have fought a parallel war since March, and has repeatedly touched Gulf states hosting US forces, including strikes affecting UK bases in Bahrain, Qatar and Cyprus.

2. The Economic Offensive

With the military conflict effectively stalemated, Washington has shifted its main pressure to economics. Treasury Secretary Scott Bessent has led what US officials are calling "Operation Economic Outcast" and an "economic D-Day" — the most extensive sanctions package of the war, targeting Iran's banking, energy, aviation and cryptocurrency sectors, alongside a pledged "zero-leakage" approach to cut off Iran's oil-smuggling networks. Action against a UAE bank accused of sanctions evasion illustrates the campaign's reach beyond Iran itself. The human and economic toll inside Iran has been severe: the rial has repeatedly hit new lows, inflation is accelerating, and the government's own rhetoric — including new Supreme Leader Mojtaba Khamenei acknowledging the need to address "inflation, unemployment" and market pressures — suggests real strain at the top.

3. The Hormuz Standoff

The Strait of Hormuz, through which a large share of global oil trade transits, has been at the centre of the conflict's economic dimension since Iran threatened closure in response to Israeli/Hezbollah escalation. US Central Command has confirmed an ongoing blockade of Iranian ports that has diverted over 80 commercial vessels, and traffic through the strait remains well below pre-war levels despite Trump's claims that mines have been cleared. A joint Iran-Oman proposal for a temporary shipping corridor and demining effort emerged in late August, alongside parallel mediation efforts from Qatar and Pakistan — the clearest sign yet of appetite on Iran's side for de-escalation, even as Washington's rhetoric hardens. Notably, China — Iran's largest trading partner — has publicly refused to comply with the new sanctions regime, setting up a likely confrontation over secondary sanctions on Chinese banks.

4. What to Watch

- The Iran-Oman shipping corridor proposal** — if this converts into an operational agreement, it would be the first concrete de-escalation signal since the ceasefire broke down in July.

- **Whether the US moves against Chinese banks** — Trump's ambiguous but pointed comments suggest this is being actively considered, and would mark a significant escalation given China's centrality to Iran's remaining trade.
- **Internal Iranian stability** — a new, less experienced Supreme Leader managing both a war and an accelerating economic crisis is a genuine source of regime uncertainty, not just external pressure.
- **Gulf state exposure** — continued strikes affecting bases in Bahrain, Qatar and Cyprus keep open the risk of the conflict widening beyond a bilateral US-Iran confrontation.

Forecast Watch

This is a rich environment for sanctions-focused forecasting, and the question I'm logging on Artemis: **will commercial shipping traffic through the Strait of Hormuz return to at least 75% of pre-war (pre-February 2026) levels before 1 December 2026?** Given the current blockade, the fragility of the Iran-Oman proposal, and the absence of a broader ceasefire, I'd put this at roughly 25-30% likely — de-escalation signals exist, but a durable reopening plausibly requires a wider political settlement that isn't currently in sight.

Bottom Line

Iran in September 2026 is neither at war in the conventional sense nor at peace in any meaningful one. The military track has stalled; the economic track is intensifying; and the diplomatic track exists mainly as a set of competing mediation efforts (Pakistan, Qatar, Oman) rather than direct talks. For risk purposes, the most important shift is that Iran's fate is no longer only about Iran — it now runs through global oil markets, Chinese financial exposure, and Gulf state security guarantees, making it one of the more consequential open questions in current geopolitics.

Sources: House of Commons Library, Britannica, Council on Foreign Relations Global Conflict Tracker, CNN, CBS News, Fox News, CNBC, Wikipedia. Prepared as an independent analytical exercise for portfolio purposes; not for investment or policy use.